

Recommendation Document

Recommendations for concrete solutions to EUDR-related challenges focusing on smallholder and private sector in the cocoa, coffee, and natural rubber sectors

November 2025



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This document has been developed based on an analysis of various relevant sources, including but not limited to legal texts on the EUDR, EUDR FAQs, as well as results from previously conducted focus group discussions (FGDs) and other events organized by the EUDR Engagement project and other stakeholders (e.g., KAMI, SAFE). It also references to other publicly available and relevant knowledge products.

The purpose of this document is to provide stakeholders with insights into implementation mechanisms of the EU Deforestation Regulation (EUDR). While this document reflects the most current information at the time of writing, it is intended as a one-off resource and does not include provisions for future updates.

1. Introduction

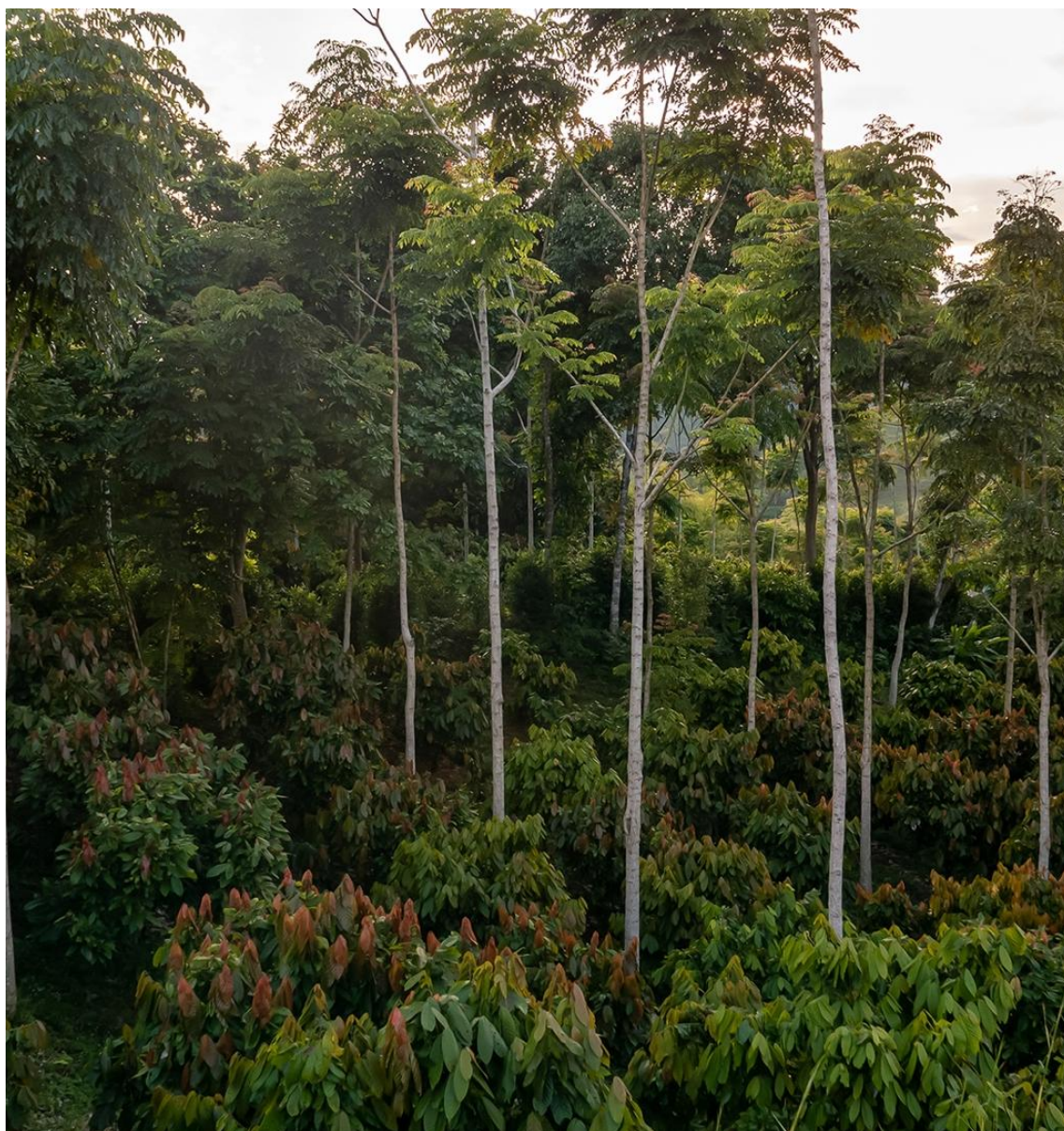
1.1. Purpose of the Document

- Purpose of the document: This document aims to provide practical and actionable recommendations to help stakeholders seize the opportunities offered by the EU Deforestation Regulation (EUDR), ensuring compliance while fostering sustainable and equitable practices in Indonesia's agricultural sector.
- Overview of the EUDR challenges and the need for tailored solutions: The EUDR introduces specific requirements on deforestation-free supply chains, creating complex challenges such as traceability, land legality, and sustainability compliance, which require tailored solutions to address the unique needs of natural rubber, coffee, and cocoa sector stakeholders.
- Importance of sector-specific approaches for natural rubber, coffee, and cocoa: Each commodity sector—natural rubber, coffee, and cocoa—faces distinct challenges in meeting EUDR requirements, e.g. social agroforestry for coffee and cocoa in Indonesia.
- Target stakeholders: This document is designed to support the following key stakeholders, ensuring they understand their role in adapting to EUDR requirements: smallholders, processors, exporters, regulators, and supporting organizations.
 - **Smallholder Farmers:** Independent producers managing small-scale farms, often with informal or unclear land tenure status. Farmers need to receive support and guidance on legal land use, traceability, and sustainable farming practices. By focusing on these areas, they can enhance their market access and maintain strong relationships within the industry
 - **Larger Processors & Exporters:** Companies that source raw materials—directly or indirectly—from smallholders, process them, and ultimately export to international markets.
 - **If exporting directly into the EU:** Must implement due diligence systems, ensure deforestation-free and legal production of relevant commodities and support suppliers and smallholders to meet EUDR requirements
 - **If exporting indirectly:** May still be asked by their buyers to provide data and procedures for supporting due diligence
 - **Smaller Exporters:** Typically operating further upstream, these companies may purchase materials from smallholders (directly or indirectly) and supply them onward. Even though their products ultimately reach the EU through larger exporters, they must collect and pass along traceability data required under EUDR.
- Other interested readers:
 - **Regulators:** Government institutions responsible for land legality verification, forest protection, and the implementation of agricultural policies. Their role includes facilitating land documentation processes, ensuring enforcement of the relevant legislative framework, and providing technical assistance to stakeholders.
 - **Supporting Organizations** (NGOs, Cooperatives, Financial Institutions, Service Providers): Entities that provide technical support, training, and financial assistance to smallholders and industry actors. They help bridge gaps in compliance by offering capacity-building programs, funding opportunities, and technology solutions for traceability.

1.2. Methodology

Recommendations and concrete solutions to EUDR-related challenges in the cocoa, coffee, and natural rubber sectors are developed through a comprehensive literature review and context analysis. This process involves synthesizing data from previous reports, including the EUDR Guidance Document and FAQ, report from EUDR Engagement project, findings from various stakeholders dialogue events in Indonesia funded by the European Union , the Legality Study on EUDR in the Indonesian Context by IPB University, as well as insights from KAMI and SAFE project reports. Additionally, publicly available and relevant knowledge products are examined to ensure a well-rounded understanding of sector-specific challenges and opportunities.

Following the data collection and analysis, recommendations are formulated through a structured approach involving stakeholder consultations and expert validation in a workshop. This process ensures that proposed solutions are not only aligned with EUDR requirements but also practical and implementable within Indonesia's agricultural landscape.



2. EUDR Implementation Challenges: Overview by Commodity

Indonesia's exporters face challenges in EUDR implementation across natural rubber, coffee, and cocoa sectors, including limited outreach, low awareness, and resource constraints for providing information on geo-location and land legality (Table 1). Fragmented supply chains and weak traceability systems further complicate adaptation processes, while low e-STDB registration and minimal understanding of the National Dashboard hinder integration with national monitoring efforts. Without financial incentives like a guaranteed premium price or enhanced market access, supply chain actors lack motivation to invest in adaptation measures, and the high costs of technology, data collection, and reporting add further strain. Addressing these gaps requires targeted capacity-building and financial support mechanisms which remain low currently. These shared challenges significantly impact smallholders and private sector actors on providing data to ensure their products are produced in line with EUDR requirements.

Table 1. Challenges for smallholders in EUDR implementation across the three commodities

Aspect	Natural Rubber	Coffee	Cocoa
Outreach on EUDR to farmers, middleman, and local stakeholders	Highly lacking	High to medium lacking	High to medium lacking
Implementing geo-location	Low, lack of resources	Mainly low, due to lack of resources. However, farmers experiencing certification will implement it	Mainly low, due to lack of resources. However, farmers experiencing certification will implement it
Proof of legality of land use	Mostly none	Mostly none. However, farmers experiencing certification mostly have land legality	Mostly none. However, farmers experiencing certification mostly have land legality
Other evidence on legal production	Most farmers do not have them	Most farmers do not have them	Most farmers do not have them
Traceability	Long and complex supply chains and difficult to implement EUDR. Farmers have no experience traceability	Long and complex supply chains. However, farmers' experiences in the certification process will significantly help	Long and complex supply chains. However, farmers' experiences in the certification process will significantly help
Registration of e-STDB ¹	Low, 919 plots (1,327.62 ha)	Low, 22,016 plots (13,198,13 ha)	Low, 13,001 plots (8,885,01 ha)
Understanding of National Dashboard	Low	Low	Low

¹ [Dashboard of e-STDB](#), accessed in January 2025

Aspect	Natural Rubber	Coffee	Cocoa
Opportunity to receive a premium price after making compliance efforts	No guaranteed premium price for compliance	No guaranteed premium price for compliance	No guaranteed premium price for compliance
Capacity	Absence of capacity building-initiatives	Absence of capacity building-initiatives	Absence of capacity building-initiatives
Adaptation costs	Requires additional investments in technology, data collection, and reporting as well as incentives to maintain traceability systems	Requires additional investments in technology, data collection, and reporting as well as incentives to maintain traceability systems	Requires additional investments in technology, data collection, and reporting as well as incentives to maintain traceability systems

Source: EUDR Engagement's FGD Summary Report by Saka Dala, 2024

2.1. Natural Rubber

- Fragmented and multi-tiered supply chains increase complexity, while supplier relationships are often dynamic. For example, less than 2% of smallholder rubber is directly supplied to any typical processor, hence ensuring deforestation-free sourcing is a major challenge.
- Aging rubber trees and poor-quality production diminish competitiveness and reduce smallholders' economic viability, limiting their ability to invest in sustainable practices.
- Child labor is prevalent and heightens social risks, requiring stronger due diligence
- Many smallholders lack adequate agricultural knowledge, and little experience with sustainability certifications—while not required under EUDR—may reflect broader capacity gaps that hinder their ability to meet some EUDR requirements, increasing the risk of exclusion from compliant markets.
- Indonesia exports 16.55% of its natural rubber to EU, with the majority directed to non-EU countries, potentially as raw materials for final products that may ultimately enter the EU market, making regulatory oversight more complex for private sector buyers.

2.2. Coffee

- Involvement in Social Forestry programs² before and after the EUDR cut-off date, must ensure they align their production with land legality and traceability requirements. However, many lack clear documentation, risking exclusion from EUDR-compliant supply chains.
- Use of different definitions of deforestation and agroforestry in comparison to EUDR definitions, making compliance assessments difficult.
- Coffee supply chain involves a larger number of stakeholders compared to cocoa, complicates traceability efforts and increases the risk of non-compliant sourcing.
- Co-ownership (*sistem paruh lahan*) creates inconsistencies in farmer data management making it harder to verify land use and origin.⁹

² [GoKUPS](#) (Integrated Electronic-Based Social Forestry Information System), accessed in January 2025

- Only 1.87% of coffee production in Indonesia currently is Rainforest Alliance (RA) certified, meaning most farmers lack prior exposure to rigorous compliance processes, increasing challenge of adapting to EUDR requirements.¹⁰

2.3. Cocoa

- Some of the smallholder cocoa plantations are in protected areas or restricted areas for agricultural purposes, making land legality verification difficult³.
- Cocoa plantations under Social Forestry programs, before and after the EUDR cut-off date, face risks of exclusion from compliant supply chains due to limited documentation and unclear alignment with land legality and traceability requirements.
- Use of different definitions of deforestation and agroforestry in comparison to EUDR definitions create legal uncertainties.
- Indonesia's cocoa plants are old, with an average age of over 20 years, making investment in sustainable practices less viable.
- Only around 71,000 tons of cocoa beans (60,000 tons of processed cocoa products) are Rainforest Alliance (RA) certified, meaning most farmers lack experience with compliance processes, increasing the challenge of adapting to EUDR requirements.



³ Koltiva primary analysis

3. Recommendations for meeting the EUDR requirements

Set of recommendations to navigate the requirements of the EUDR, which will aid in forming the implementation roadmap for the EUDR readiness journey.

3.1 EUDR Compliance on Smallholder Farmers

Smallholders form the foundation of many supply chains but often lack the resources and formal structures to navigate complex regulatory demands. To share their plot data with exporters, it is essential for them to establish minimum proof of legality, including documentation of land rights, environmental protection, respecting human and labour rights, and compliance with local regulations. These elements are essential for demonstrating that the plot production complies with both national and international regulations and aligns with the EUDR regulation, which the operator will submit to establish the due diligence system.

In addition to the previously mentioned need for legality requirements, it's important to highlight that the primary goal of the EUDR is to reduce the use of products sourced from deforested and degraded forest areas. This regulation aims to prevent future deforestation and degradation. Farmers can take several steps to help achieve this goal, such as refraining from clearing land in forested areas, utilizing abandoned or unused land, using agroforestry and sustainable agriculture to enhance its productivity.

The recommendation categorizes smallholder farmers into three levels—Foundational, Progressing, and Advanced—based on their current level of preparedness and capacity to meet EUDR requirements. This approach ensures that recommendations are actionable and tailored to each group's specific needs.

- **Foundational:** Smallholders with minimal legal documentation or sustainability practices, requiring support to achieve basic compliance.
Indicators: No formal land title, limited awareness of regulations, basic farm practices.
- **Progressing:** Smallholders who have taken steps toward legality and sustainability but require further improvements to secure long-term compliance.
Indicators: Partial land documentation, basic traceability, initial environmental and labor safeguards in place.
- **Advanced:** Smallholders who have fully formalized land ownership and integrated sustainable practices, positioning themselves as leaders in the sector.
Indicators: Full land ownership (SHM or e-STDB), use of digital traceability, agroforestry system adoption without converting forest into an agroforestry system after 2020, adherence to environmental and labor standards.

Category	Description	Example Characteristics	Support Focus
Early Stage	Farmers with limited legal documentation or awareness of EUDR requirements.	No land title or informal tenure, low awareness, basic or subsistence farming practices.	Awareness-raising, legal literacy, basic documentation.

Category	Description	Example Characteristics	Support Focus
Transitioning	Farmers who have started aligning with legality or sustainability goals but face gaps in documentation or systems.	Partial land documents, initial steps in traceability, basic labor/environmental safeguards in progress.	Legal strengthening, digital onboarding, risk mitigation.
EUDR-Aligned	Farmers with documentation and systems in place that enable traceability, legality, and sustainability risk assessment, though ongoing verification may still be needed.	Formal land title (e.g., SHM, e-STDB), GPS-tagged plots, use of digital tools, compliance with labor/environment rules.	Continuous improvement, internal audits, market access.

Table 2. Recommendations for Smallholder Farmers

Legality Aspect	Basic Readiness (Immediate Legal & Operational Focus)	Strengthening Readiness (Enhanced Sustainability & Legal Security)	Sustainability Leaders (Best Practices & Market Access)
Traceability and Record Keeping <i>Ensuring Accurate Plot Records and Product Tracking</i>	Map Plot Boundaries Use GPS or simple field surveys to map current farm boundaries, ensuring they do not overlap with protected areas. If plot boundaries have changed since the deforestation cutoff date (e.g., 2020), Ensure that updated geolocation data is accurately collected and verified, using historical community records where needed. Record Farm Size and Location Maintain a written record of farm size, estimated land area, and rough hand-drawn maps if no GPS is available. Implement Product Segregation Ensure harvested products from different plots or varieties are labelled and stored separately.	Keep Digital or Paper Farm Records While not directly required under EUDR, maintaining records of yields (including harvest dates), input use (fertilizers and crop protection products), and sales transactions can strengthen the credibility of due diligence and help demonstrate consistency between reported production and supply chain traceability, supporting overall risk assessment processes. Implement Product Segregation Ensure harvested products from different plots or varieties are labelled and stored separately.	Implement Product Segregation: Ensure harvested products from different plots or varieties are labelled and stored separately. Make Use of Certification Systems Leverage existing data and organizational structures from sustainability certification or verification programs that require full traceability of production. Utilizing digital monitoring tools or third-party verification mechanisms embedded in these programs can help confirm long-term deforestation-free compliance. Adopt Digital Traceability Tools

Legality Aspect	Basic Readiness (Immediate Legal & Operational Focus)	Strengthening Readiness (Enhanced Sustainability & Legal Security)	Sustainability Leaders (Best Practices & Market Access)
			Use smartphone apps or spreadsheets with built-in tracking features.
	Farmers' Rights: • Right to Data Use Transparency: Smallholders can request that any digital or paper traceability system clearly shows how their data is used to meet zero-deforestation or EUDR criteria. This is aligned to the EU's General Data Protection Regulation (GDPR). • Right to Secure Tenure Recognition: By complying with EUDR traceability and legality requirements, smallholders contribute to evidence of long-term land use, which can support future land tenure claims or legal recognition by authorities. • Right to Technical Assistance: Under many certification programs, smallholders can request training or tools (e.g., GPS apps) to help them maintain robust traceability records. • Right to Data Correction: If external audits or certifications uncover errors, smallholders can correct them and demand fair treatment if a buyer misrepresents their data.		
Land Use Rights <i>Right to use, manage, and occupy agricultural land.</i>	Obtain or Update Land Docs Secure formal land title where possible (such as SHM or certified land deeds). If unavailable, obtain local proof of land use (e.g., Surat Keterangan Tanah [SKT]) as interim documentation, while acknowledging that full legal verification may still be required under EUDR compliance standards. Keep Records Current Store any expansions, inheritances, or official documents in a safe place. Cooperate with Audits Be ready to show land docs and farm data if buyers require additional verification in high-risk areas	Regular Land Status Reviews Update official documents if farmland changes (e.g., expansions). Move Toward e-STDB Ensure you have the e-STDB by following these steps; 1. Check Eligibility 2. Gather Required Documents 3. Visit Local Authorities 4. Submit Application 5. Verification & Approval 6. Regular Updates Collaborate with Local Authorities If boundaries are unclear, involve local offices for clarity and avoid future disputes.	Long-Term Land Security Pursue fully formalized land deeds (SHM) and any advanced certificates Digital Mapping & Updates Use smartphone apps or geospatial tools to quickly register any changes in size or usage. Land Sharing Agreements Set formal contracts or cooperative models if you share boundaries or resources with other farmers or indigenous communities.

Legality Aspect	Basic Readiness (Immediate Legal & Operational Focus)	Strengthening Readiness (Enhanced Sustainability & Legal Security)	Sustainability Leaders (Best Practices & Market Access)
	Farmers' Rights: • Right to Secure Tenure: Under EUDR Articles 3(c) and Indonesian Agrarian Law (UU No. 5/1960, larger entities must respect your documented land rights. This mean they cannot expand or encroach on your land without proper consent processes. • Right to Land Tenure Security: Under the EU Deforestation Regulation (EUDR), Article 3(c), operators must ensure that the relevant commodities are produced on land where legal land use rights were respected. This means smallholders can assert their legal ownership or customary land claims and request recognition from companies or authorities as part of this compliance requirement. , through Social Forestry schemes (Perhutanan Sosial) or land registration programs (e.g., PTSL). Companies must verify land status under due diligence obligations. Smallholders can support their claims through programs such as Indonesia's Social Forestry schemes (Perhutanan Sosial) or the Systematic Land Registration Program (PTSL). Companies, as part of their due diligence obligations, must verify that the land used is not subject to unresolved land tenure disputes and that rights holders have given proper consent. • Right to Due Process: If a dispute arises, smallholders are entitled to dispute resolution under Peraturan Menteri ATR/BPN No. 11/2016 and may request mediation or legal adjudication to prevent unjust land seizure. This aligns with EUDR expectations for risk mitigation regarding third-party rights.		
Environmental Protection <i>Safeguarding ecosystems, biodiversity, and water sources.</i>	Avoid Illegal Clearing Do not expand into protected or forested areas. Increase yield on existing land or degraded areas instead. Manage Inputs Responsibly Store and apply fertilizers/chemicals safely; dispose of containers properly. Be aware of Regulation Consult list of relevant environmental regulations.	Conservation Measures Practice soil & water conservation (terracing, mulching), while maintaining tree cover to align with deforestation-free standards. Use minimal agrochemicals; consider partial organic or integrated pest management techniques. Small-Scale Reforestation (Optional Good Practice) While not a direct requirement under the EUDR, planting shade trees or local species particularly in buffer zones near water sources— can support broader sustainability objectives, enhance ecosystem resilience, and demonstrate environmental stewardship to buyers and verifiers.	Integrated Agroforestry Adopt mixed-crop systems or multi-species buffer zones to enhance biodiversity but never convert forest into an agroforestry system after 2020. Community & Government Collaboration Cooperate with local programs for wildlife corridors or watershed protection. Ecosystem Restoration Rehabilitate degraded land and document reforestation efforts to strengthen zero-deforestation compliance. Carbon Markets Explore carbon-credit schemes or NGO partnerships, to generate extra income

Legality Aspect	Basic Readiness (Immediate Legal & Operational Focus)	Strengthening Readiness (Enhanced Sustainability & Legal Security)	Sustainability Leaders (Best Practices & Market Access)
			while improving biodiversity.
	Farmers' Rights: • Right to Environmental Knowledge: Smallholders can ask extension services or local authorities for clear info on rules regarding deforestation, buffer zones, etc. from extension services or local authorities. (Related to good governance principles; not explicitly mandated by EUDR.) • Right to Clean Water & Healthy Soil: Smallholders may report pollution or soil degradation under national environmental protection laws. (Based on national environmental laws; EUDR focuses mainly on deforestation and degradation.) • Right to Benefit-Sharing: If large companies conduct projects on or near smallholder land (e.g., carbon credits), they can request a fair share of the benefits or compensation. (Not part of EUDR; linked to voluntary standards and specific national contexts.)		
Forest-Related Regulation⁴ <i>Applicable if dealing with or near forest area</i>	Check Permit Requirements If farmland overlaps with forest zones or has partial timber species, consult local forestry offices to ensure you do not need special permits.	Obtain Forestry Clearances If you occasionally produce timber or your land is near designated forest, secure any required local permissions (e.g., IUPHHK for small-scale timber harvesting). Respect Buffer Zones Identify or map any designated buffer edges or catchment areas.	Sustainable Wood Management For smallholders producing timber, adopt recognized forestry standards or community forest certifications. Long-Term Compliance Collaborate with forestry bodies or cooperatives to reforest edges, enforce sustainable harvest rotation, and gain better market access for legal timber.
	Farmers' Rights: • Right to Legal Recognition: If their land includes timber species, smallholders can seek inclusion in sustainable forestry programs. (Source: Indonesia's <i>Peraturan Menteri Lingkungan Hidup dan Kehutanan No. 9/2021</i> on Social Forestry Management.) • Right to Sustainable Land Use – Farmers should have the right to use their land for agroforestry or mixed farming that includes timber, ensuring they comply with environmental and forestry laws while maintaining livelihood security. (Source: Indonesia's Environmental Protection Law No. 32/2009; Forestry Law No. 41/1999.) • Right to Fair Market Access – Smallholders producing legal timber should have equal access to certification programs (e.g., FSC, PEFC) and markets that recognize sustainably sourced products. (Source: Voluntary Certification Programs; FSC Principles & Criteria; PEFC Standards.) • Right to Government Support & Incentives – Farmers complying with forest-related regulations should be eligible for government incentives, such as reforestation grants,		

⁴ While not applicable for cocoa, coffee and rubber, some Indonesian producers may be producing forestry products as well, in which case they need to also consider some forest related regulations

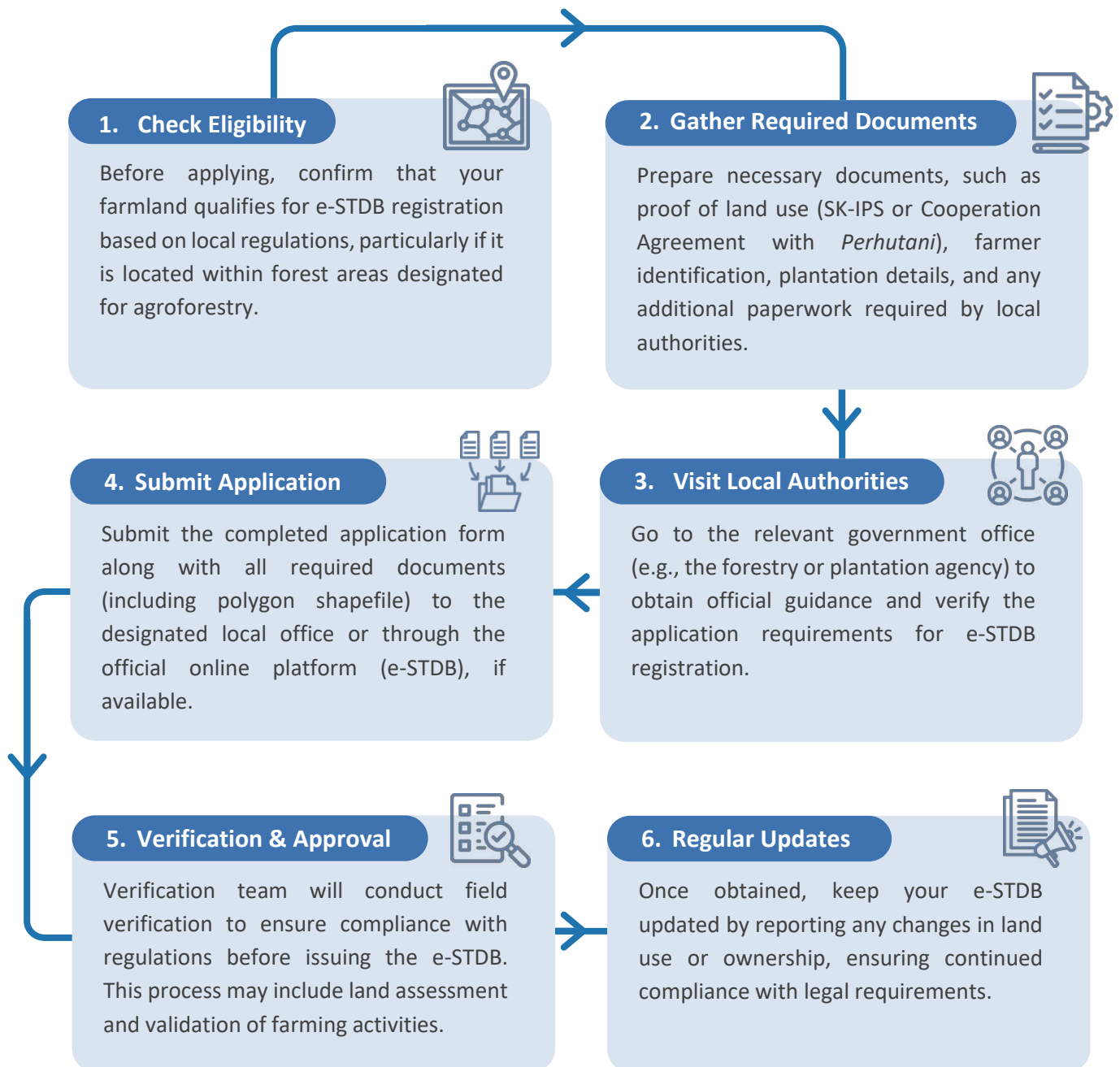
Legality Aspect	Basic Readiness (Immediate Legal & Operational Focus)	Strengthening Readiness (Enhanced Sustainability & Legal Security)	Sustainability Leaders (Best Practices & Market Access)
	sustainable land-use training, or low-interest loans for forest-friendly agricultural practices. (Source: Indonesia's Peraturan Menteri Lingkungan Hidup dan Kehutanan No. 39/2017 on Incentives for Environmental Services; Ministry Programs.) • Right to Legal Assistance & Dispute Resolution – If land tenure or forest boundary issues arise, smallholders should have access to legal aid, conflict mediation, or customary land rights recognition to prevent displacement or unfair land claims. (Source: Indonesia's Agrarian Reform Program; Law No. 5/1960 on Basic Agrarian Principles.) • Right to Participate in Forestry Decision-Making – Smallholders should have a voice in local forestry policy discussions, especially regarding community forestry programs, conservation efforts, and government land-use planning. (Source: Indonesia's Peraturan Menteri Lingkungan Hidup dan Kehutanan No. 9/2021 on Social Forestry Management.) • Right to Customary Land Recognition – If their land is part of a customary or indigenous forest system, smallholders should have legal recognition under Indonesia's social forestry schemes (<i>Hutan Adat</i>, <i>Hutan Kemasyarakatan</i>, or <i>Hutan Tanaman Rakyat</i>). Right to Timber Legality & SVLK Certification Support. (Source: Constitutional Court Decision No. 35/PUU-X/2012; Social Forestry Program.) • Smallholders engaged in timber production have the right to SVLK (<i>Sistem Verifikasi Legalitas Kayu</i>) certification support, which is required for timber exports. The government provides facilitation for: ○ Group certification schemes for small-scale producers ○ Training on legal timber harvesting practices ○ Financial assistance for SVLK compliance (Source: Indonesia's SVLK system - Peraturan Menteri Lingkungan Hidup dan Kehutanan No. 30/2016.) • Right to Participate in Reforestation & Carbon Credit Programs Farmers can receive incentives for planting trees or restoring degraded land through: ○ <i>Dana Reboisasi</i> (Reforestation Fund) from APBN (State Budget). ○ Carbon trading under Indonesia's carbon offset scheme (FOLU Net Sink 2030). ○ Village Fund (<i>Dana Desa</i>) allocation for agroforestry & conservation projects.		
Labor Rights <i>Fair treatment, safe working conditions, child labor prohibition.</i>	Prohibit Hazardous Child Labor Do not assign minors to hazardous tasks (heavy lifting, chemical spraying). Keep Simple Wage Records Even basic notebooks for daily worker hours help demonstrate fair payment. Be aware of Labor Regulations Consult list of relevant Labor regulations.	Health & Safety Measures Provide or request training on pesticide handling and first aid; supply protective equipment (gloves, masks). Respect Minimum Wage (if applicable) Pay daily or seasonal workers at least the monthly equivalent local legal standard (pro rata).	Structured Labor Policies Establish written rules or guidelines for wages, hours, and safety procedures. Document worker agreements or seasonal contracts. Community Worker Safety Offer or co-sponsor medical checks or facilitate training (e.g., first aid courses) for regular farmhands.

Legality Aspect	Basic Readiness (Immediate Legal & Operational Focus)	Strengthening Readiness (Enhanced Sustainability & Legal Security)	Sustainability Leaders (Best Practices & Market Access)
	Farmers' Rights: Right to Safe Conditions and Fair Wages: If smallholders or family members are hired for seasonable or contracted work, they are entitled to a safe workplace and fair compensation. Right to Refuse Unsafe Demands: Smallholders can decline tasks that violate safety standards or child labor laws Right to Formal Grievance Mechanisms: Workers can set up or join a local complaint/feedback channel for reporting unsafe working conditions, wage issues, or discrimination.		
Human Rights Protections <i>No discrimination; freedom of association; safe remedy for grievances.</i>	No Discrimination Treat family helpers, neighbors, and all workers equally, regardless of gender or background.	Access to Remedies If disputes arise (e.g., wage issues), follow local mediation or village dispute-resolution steps. Keep basic written notes of what was agreed.	Formal Grievance Mechanisms Set up or join a local complaint/feedback channel for farm laborers or neighbors. Keep records of issues and steps taken to resolve them.
	Basic Safety Awareness Explain hazards of chemicals and manual tasks to everyone on site.	Respect Dignity Foster open communication for concerns about workload, payments, or working hours.	Proactive Human Rights Measures Collaborate with NGOs or community leaders to host awareness sessions on labor/human rights.
	Farmers' Rights: Right to Equal Treatment: Smallholders can demand non-discriminatory treatment in cooperatives, buyers' programs, and land policies. Right to Report Violations: If human rights abuses occur (e.g., forced labor, land grabs), smallholders have the right to report violations through national or international grievance mechanisms. Right to Collective Bargaining and Freedom of Association: Smallholders can join farmer unions, cooperatives, or advocacy groups to improve working conditions and negotiate better terms with buyers. Right to Protection from Retaliation: If smallholders report human rights abuses, they are entitled to protection from harassment, eviction, or unfair treatment by buyers or local authorities.		
Third Parties' Rights <i>Local communities, neighbors, or indigenous groups.</i>	Consult the Community If you plan to expand or change land use, inform neighbors or local leaders to avoid conflicts. Document any verbal agreements on boundary sharing.	Settle Boundaries Keep official or community-endorsed records of any pathways, water resources, or shared usage to pre-empt boundary disputes.	Cooperative Land-Use Management Enter formal communal agreements or co-management plans if farmland overlaps with communal areas.
		Avoid Shared Resource Conflicts If you share roads or water, schedule usage fairly.	Joint Governance Boards Join or form local

Legality Aspect	Basic Readiness (Immediate Legal & Operational Focus)	Strengthening Readiness (Enhanced Sustainability & Legal Security)	Sustainability Leaders (Best Practices & Market Access)
			committees for dispute resolution or resource allocation, ensuring balanced decision-making.
	Farmers' Rights: • Right to Land Dispute Mediation: If smallholders face land conflicts with larger actors, they can request FPIC compliance and legal mediation. • Right to Representation: Smallholders have the right to engage local advocacy groups or government bodies for land tenure protection. • Right to Inclusion in Decision-Making: When land policies impact local farming communities, smallholders can demand participation in local governance boards.		
The Principle of FPIC <i>Free, Prior, and Informed Consent.</i>	Identify Customary Lands If your farm is near or within indigenous territory, confirm land status by talking to community leaders or local authorities. → Note: If you are the customary landholder, you have the right to withhold or negotiate consent for external land use.	Obtain or Confirm Customary Permissions If your land lies within a customary area, secure documented or widely recognized community consent to strengthen your legal standing. Participate in Consultations Join dialogues where indigenous groups or communities are affected by new land claims or expansion projects. → Note: Smallholders also have the right to be consulted and to raise objections if their customary rights are violated by companies.	Long-Term Compliance with FPIC Maintain written or digital records of any consent agreements. Continue engaging with indigenous leadership, and revise land use if new claims arise. Consensus-Building Involve third-party mediators or NGOs when needed, especially in cases of potential conflict with large-scale land users. → Note: Under EUDR, smallholders can submit substantiated concerns if their land rights are violated by companies or suppliers.
	Farmers' Rights: • Right to Report Violations: Smallholders can use the FPIC mechanism to report violations of their rights, such as when a company clears land without the community's consent. • Right to Free, Prior, and Informed Consent (FPIC): No company or government can take land or resources from smallholders without proper consultation and agreement. • Right to Appeal Land Disputes: If land tenure or resource use conflicts arise (e.g. water rights, access to forests), smallholders can demand a formal review through national or community legal channels, e.g. Village Head (<i>Kepala Desa</i>), District Land Office (<i>Kantor Pertanahan</i>), or Provincial Forestry Office (<i>Dinas Kehutanan Provinsi</i>). • Right to Be Heard: Smallholders have the right to participate in decision-making processes that impact their land use and livelihoods, this can include infrastructure, conservation programs, natural resource access, etc.		

Legality Aspect	Basic Readiness (Immediate Legal & Operational Focus)	Strengthening Readiness (Enhanced Sustainability & Legal Security)	Sustainability Leaders (Best Practices & Market Access)
Tax, Anti-Corruption, Relevant Trade & Customs <i>Obligations to pay taxes, avoid bribery, and maintain honest documentation.</i>	Pay Legitimate Fees If farmland triggers local taxes (e.g., PBB), ensure minimal tax payments are made and within local legal thresholds.	Keep Accurate Documentation Make sure farm-level records—land certificates, expansions, any purchases—are up-to-date and can be shown to authorities.	Transparency & Accountability Use digital tools or local cooperative management to track payments, ensure receipts are official, and minimize petty corruption.
	Don't Offer or Accept Bribes If someone requests money for land documents, consider reporting it if safe to do so.		Market Access Benefits By maintaining thorough tax/certification records, smallholders can access higher-value markets, including premium or certified supply chains.
	Farmers' Rights: Right to Anti-Corruption Protections: Farmers can report bribery, or extortion attempts without fear of retaliation. Right to Information: Farmers can request clarification on taxation laws and others from their local authorities		

Practical Steps to Register e-STDB for Smallholder Farmers



3.2 EUDR Compliance for Larger Processors & Exporters

Who This Section Applies To:

This section provides EUDR related recommendations for Indonesian midstream companies, including:

Rubber, Coffee, and Cocoa Processing Factories

sourcing from smallholders or intermediaries and responsible for partial transformation steps.



Exporters that place products directly on the EU market and are legally classified as Operators under the EUDR.



Larger, established companies that may not export directly but act as key suppliers to global exporters, providing essential due diligence data and handling large volumes within the domestic supply chain.



Five-Stage Roadmap for Midstream EUDR Implementation

The roadmap below is tailored for Indonesian midstream companies (processing factories and local suppliers to exporters), considering their position in the supply chain and practical constraints.

Within each stage, you'll see three maturity levels as the basis of a roadmap: Foundational, Progressing, and Advanced. Companies begin by establishing basic elements at the Foundational level, then build on those successes with more robust systems at the Progressing level and finally adopt a leading approach (Advanced) for adapting for EUDR implementation and beyond.

By moving left to right (Foundational → Progressing → Advanced) within each stage, and top to bottom through all five categories, you create a comprehensive and evolving compliance framework—one that starts with internal alignment and culminates in proactive, continuous EUDR excellence.

1. Company Systems & Governance

Effective governance serves as the foundational support for achieving compliance with the EU Deforestation Regulation (EUDR). This entails the establishment of well-defined policies, appointing dedicated leadership (such as a Compliance Officer), budgeting appropriately, and seamlessly integrating EUDR considerations into current business processes. A robust governance framework empowers teams to understand their responsibilities and facilitates the efficient allocation of resources. Below is a proposed action plan that a large processor and exporting entity might adopt to ensure that their shipped products meet compliance standards.

Foundational Practices (Getting Started)	Progressing Practices (Basic Good Practice)	Advanced Practices (Leading Companies)
Map Product Codes to HS Codes Maintain a single database matching each of your internal product code (related to forest-risk commodities) to the correct HS code from Annex 1 of the EUDR. Readiness Assessment (Annex 1) Complete a simple internal exercise to identify policy gaps, potential supply chain mapping complexities, and staff capabilities. Basic Policy Statement Draft a no-deforestation/no-conversion sourcing policy in line with EUDR requirements. Assign Interim Compliance Lead Identify a temporary point person to coordinate early EUDR tasks while clarifying the eventual Compliance Officer role. Identify Key Processes Map where EUDR compliance touches procurement, logistics, etc. Buyer Engagement Discuss with your EU buyers or brand clients about covering partial costs for farmer compliance (training, technology).	Obtain Senior Management Approved Action Plan Secure official sign-off on EUDR compliance roadmap, including piloting initiatives. Adopt a More Robust Sourcing Policy Expand the policy to reference cut-off dates (e.g., 2020), indigenous rights (e.g., FPIC) to ensure your policy addresses both environmental and social requirements. Formalize Compliance Officer Appointment Designate a management-level officer responsible for the due diligence process, with clear accountability and reporting to senior leadership. Budget & Staffing Plan Estimate resources (including possible external service providers) needed for due diligence (DDS) implementation. Formal SOPs & Training Document procedures for EUDR compliance; train staff in relevant roles.	Regular Board Engagement Present quarterly or semi-annual EUDR performance updates at the board or executive team level, to ensure continued buy-in from top management within the company. Continuous Improvement Regularly audit, benchmark, and revise SOPs based on new EUDR guidance. Policies & Targets Publicly declare a no-deforestation/conversion-free policy that exceeds EUDR scope (anticipate future commodity expansions).

2. Supplier Engagement & Outreach

Once governance is in place, companies must extend requirements to suppliers. This involves creating or updating supplier codes of conduct, training suppliers on EUDR obligations, conducting audits, and incentivizing compliance. Effective engagement ensures that your supply chain partners understand—and can meet—deforestation-free expectations.

Foundational Practices (Getting Started)	Progressing Practices (Basic Good Practice)	Advanced Practices (Leading Companies)
Supplier Identification Identify which Tier 1 suppliers handle forest-risk commodities. Basic Onboarding & Communication - Communicate basic EUDR requirements (traceability, legality, zero-deforestation) to suppliers - Provide simple self-declaration forms (after self evaluation) to summarise current compliance efforts to buyers. Kick-Off Meetings & Positive Collaboration - Encourage Q&A on compliance costs and potential incentives for top performers. - Agree on a data sharing protocol with your suppliers to determine when, how, and what data can be shared. Launch Supplier Readiness & Pilots - Identify a manageable number of Tier 1 suppliers for a pilot test of supply chain mapping (focus on verifying geolocation data and time range). - Conduct readiness assessments with key suppliers, helping them create basic action plans to address gaps.	Full Rollout of Supplier Mapping & Readiness - Conduct socialization of EUDR policies across all suppliers. - Verify that all Tier 1 suppliers can trace products to at least the plot (or have a plan in place to collect the data). - Encourage Tier 1 suppliers to cascade EUDR requirements to their own suppliers. Provide them with easy training modules or pass-along materials. Policies & Contracts Develop feedback channels for suppliers to share issues or best practices (grievance mechanisms). Provide Incentives Offer prioritized contracts, better payment terms, or premiums for suppliers who can provide EUDR relevant data.	Regular Supplier Audits Conduct routine audits with independent bodies or multi-stakeholder coalitions. Joint Action Plans Collaborate with top-tier suppliers on advanced traceability or restoration projects. Industry Collaboration - Participate in or co-develop shared verification frameworks or sector-wide programs to tackle deforestation collaboratively. - Participate in or co-develop supply chain-wide programs to address deforestation at scale Digital Integration and Data Interoperability Utilize the National Dashboard to upload geolocation data, risk assessments, and continuous updates. Explore pre-competitive sector-wide collaborations to ensure data compatibility, reduce duplication, and support collective compliance efforts under the EUDR framework.

3. Traceability and Data Collection

EUDR compliance hinges on knowing where your products originate. This stage focuses on geolocation data, digital systems for real-time tracking, and rigorous document verification to ensure that commodities haven't originated from deforested land. Reliable traceability is the foundation for all downstream risk management.

In the Indonesian context, traceability systems must also prioritize data privacy and protection, ensuring that smallholder and supplier data is collected, stored, and shared in compliance with national data protection regulations. Furthermore, efforts should be made to ensure interoperability of data across systems, enabling alignment with National Dashboard and facilitating sector-wide pre-competitive collaboration.

Foundational Practices (Getting Started)	Progressing Practices (Basic Good Practice)	Advanced Practices (Leading Companies)
Core Traceability Form - Use a simple data form to record key details: supplier name, date of delivery, farm/plot location, batch ID, and product quantity. - Store in a labelled folder or digital spreadsheet. Basic Batch Labelling - Assign a unique batch code (e.g., "Batch #001, Supplier X, Date Y"). - Keep each batch separate to prevent mixing with non-verified products. Minimum Documentation Retention - Maintain traceability records for at least five years (per EUDR requirements). - Ensure organization by date or supplier name, even if using paper records. Data Consistency Checks - Compare supplier declarations (farm size/expected yield) with actual purchase records. - Flag significant discrepancies for review.	Use a Simple Digital Tool - Shift from paper logs to a spreadsheet or mobile data-collection app. - Ensure it captures geo-coordinates, supplier IDs, and product volumes. Chain-of-Custody Procedures - Develop a short-written procedure describing product movement from farm to storage and buyers. - Implement mixing prevention measures (e.g., color-coded bags, separate storage zones). Verify Supplier Data More Rigorously - Conduct random cross-checks (e.g., supplier visits, public satellite imagery review). - Document findings in a short verification report. Maintain a Traceability Log of Each Batch - Record batch details: supplier, quantity, date, and destination. - Ensures quick product tracing during deforestation risk investigations.	Fully Integrated Traceability System - Adopt specialized supply chain software to capture real-time supplier, warehouse, and shipment data. - Implement automated anomaly detection (e.g., flagging suspicious volumes). Remote Sensing & Geospatial Mapping - Maintain digital records linking transactions to verified supplier land. - Provide "read-only" access for key buyers/partners requiring transparency. Third-Party or Shared Audits - Collaborate with local associations or multi-stakeholder initiatives for joint field audits. - Reduce costs and duplication by sharing verification efforts. Traceability Innovations - Implement QR codes or digital tags at collection points for instant location and timestamp updates. - Explore blockchain or AI-driven traceability enhancements.

Foundational Practices (Getting Started)	Progressing Practices (Basic Good Practice)	Advanced Practices (Leading Companies)
Separate Potentially Non-Compliant Supplies - Keep unverified supplier products separate from fully verified batches. - Clearly mark to prevent accidental mixing so staff will not mix them.	Centralized Record Portal - Use a shared drive or online platform for multiple staff to handle data. - Implement user access controls to maintain data integrity.	Implement Data Privacy Protocols Ensure all traceability systems include protocols for informed consent and secure data handling. Align data practices with Indonesia's Personal Data Protection Law (UU PDP No. 27 tahun 2022) and clearly communicate to farmers and suppliers how their data will be used and shared. Ensure System Interoperability Design traceability systems using standardized data formats and APIs to allow integration with national platforms (e.g., National Dashboard) and sector-wide initiatives. This supports efficiency, reduces duplication, and facilitates broader compliance verification.

4. Risk Assessment and Mitigation

Even with good traceability, risks remain. In this phase, companies assess potential issues (e.g., deforestation hotspots) and create Corrective Action Plans (CAPs). This ensures that problems are swiftly identified and corrected.

Foundational Practices (Getting Started)	Progressing Practices (Basic Good Practice)	Advanced Practices (Leading Companies)
Minimum Verification Consult with NGOs or suppliers in the areas regarding the risk and availability of land legality documents, indigenous and other community issues. Conduct desk-based checks (e.g., supplier documents, geolocation data) on pilot suppliers. Document any non-compliance in a simple log, assigning corrective actions, including: • Issue Name and Description • Cause • Follow-up Action • Deadline • Person in Charge (PIC) Codify Risk Procedure • Align with Article 10.2 criteria: deforestation prevalence, corruption indices, indigenous claims, and complexity of supply chains, etc. • Refer to publicly available indices in absence of specific supply chain data. • In your risk model, incorporate the EC's country benchmarking (Article 13) to determine sampling frequency for 'high-risk' origins.	Supplier Segmentation Segment suppliers by risk level (high, medium, low) based on: • Region • Commodity • EUDR Readiness Assessment Structured Support & Gap Closure • Prioritize high-risk suppliers with dedicated improvement plans; offer incentives or capacity building. • Provide training to suppliers on risk closure: e.g., data improvement, record keeping, or alternative sourcing. Collaborate With Local Governments Where moderate risk is found, coordinate with local land offices or NGO reforestation projects to address land titling or partial clearing.	Operate a real-time risk dashboard that integrate satellite data, third-party audits, supplier performance metrics, and plausibility checks to validate information and detect inconsistencies early. Grievance Mechanism Set up a channel for communities or smallholders to report land disputes or potential violations. Comprehensive Corrective Action Plans Collaborate with suppliers on reforestation, land titling, or improved practices when moderate risks are found. Long-Term Partnerships For consistently high-risk areas, develop co-investment models or strategic initiatives with NGOs/local gov to raise compliance systematically (e.g., broad land legalization programs, advanced forest monitoring).

5. Ongoing Monitoring and Validation

Compliance is not a one-time fix. Ongoing monitoring ensures your EUDR systems stay effective amid regulatory updates and shifting supplier landscapes. This final category emphasizes continuous checks, third-party validation, regular stakeholder engagement, and continuous improvement loops.

Foundational Practices (Getting Started)	Progressing Practices (Basic Good Practice)	Advanced Practices (Leading Companies)
Periodic Internal Checks Schedule basic reviews across relevant departments to detect any non-compliance or data gaps. Annual Review Review due diligence process at least once per year.	Continuous Monitoring Conduct annual or semi-annual on-site audits or remote sensing checks, adjusting risk profiles as necessary. Third-Party Validation Include external or independent audits in your continuous monitoring plan (not just one-offs). Regulatory Updates & Adjustments Adapt your monitoring approach when new EUDR guidance emerges, or high-risk regions shift. Complaint Investigation Investigate credible external complaints or “substantiated concerns” about deforestation promptly and transparently.	Real-Time Monitoring Integrate a live dashboard with alerts for anomalies in supplier data, high-risk shipments, or new deforestation signals. Transparent Reporting Publish frequent compliance updates that include EUDR metrics, supplier compliance rates, and major risk findings. Systematic Improvements Routinely refine SOPs, training, or technology solutions based on evolving risk profiles and stakeholder input. Look Beyond EUDR Leverage synergy with other due diligence frameworks so that your EUDR monitoring can feed into broader ESG compliance.

3.3 EUDR Compliance for Local Suppliers and Farmer Cooperatives

Who This Section Applies To:

This section provides EUDR compliance recommendations for smaller Indonesian companies, including:



Local Suppliers to Exporters that are not directly placing products on the EU market yet required to support EUDR traceability requirements.



Cooperatives collecting raw material directly from member smallholder farmers and potentially linking into EU-bound supply chains.

Local suppliers, smaller exporters, and cooperatives play a critical role in EUDR compliance by ensuring traceability and preventing product mixing. While they are *not* Operators, EU buyers may still require geolocation data and farm-level traceability.

Establishing basic tracking system helps maintain market access and compliance (e.g. linking each batch to a known source, recording at least one GPS point for small farms, and preventing mixing through clear labelling or physical separation).

Robust segregation practices are key, especially when not 100% of farmers are mapped, as they allow businesses to differentiate between “EUDR-ready” batches and non-compliant ones, reducing the risk of their entire supply chain being deemed ineligible for EUDR sourcing.

Stage	Foundational Practices (Getting Started)	Progressing Practices (Building Good Practice)	Advanced Practices (Leading Companies)
Governance & Systems	Assign a Part-Time EUDR Lead Pick someone (could be the warehouse manager or co-op treasurer) to handle record-keeping, gather geolocation data, and keep minimal documentation. Basic Internal Briefing Have a short meeting with staff about EUDR needs (what data to collect, why it's needed). Simple Data Protection Keep farmer ID info in a locked box or password-protected spreadsheet; never share personal details without consent. Basic Backup Protocol Copy your key EUDR documents (spreadsheets, logs) onto a second USB stick or cloud storage at least monthly. This ensures you don't lose data if your main records are damaged.	Written Roles & Responsibilities Write down who does what regarding EUDR compliance, e.g., who collects farm GPS coordinates, who enters data in the logs. Organized Filing System Store supplier or farmer data (invoices, purchase logs) in labelled folders, either physically or digitally, ensuring easy retrieval. Internal EUDR Policy A short statement clarifying no-deforestation, no mixing of unknown sources, and respect for privacy. This can be shared internally and with suppliers.	Formal SOP & Training Develop a Standard Operating Procedure (SOP) (even if only a few pages) detailing each step of data collection and data protection. Train staff or farmer representatives at least once a year. Allocated Resources for EUDR If compliance requires financial investment (hardware, basic software, stationary), consider allocating a small internal budget or discuss with buyers about co-investment in compliance. GDPR Alignment If dealing with personal data on a larger scale, adopt basic GDPR-inspired measures (written consent forms, anonymized IDs for farmers). While the GDPR does not apply to Indonesian nationals, they are a good standard to follow re. data privacy
Supplier Engagement & Outreach	Basic Socialization Tell local farmers, collectors, or staff that to sell to the EU, we need basic farm or plot coordinates. Emphasize that data collection is necessary for maintaining access to global buyers.	Supplier Meetings/ Trainings Host short sessions or group discussions for farmers or local collectors on how to measure or record coordinates (e.g., how to use a shared GPS device).	Formal Supplier Onboarding Have a simple sign-up form for new suppliers. This form includes minimal required data: farm location, lot sizes, land certificate number (if any).

Stage	Foundational Practices (Getting Started)	Progressing Practices (Building Good Practice)	Advanced Practices (Leading Companies)
	Consent & Explanation When you collect any personal or land data, explain it's for EUDR compliance, so they know their rights. Basic Problem Log Keep a small notebook or digital note to record repeated issues or questions from farmers (e.g., confusion over cut-off dates), so you can address them in future training.	Outreach Calendar Plan a public calendar of planned "outreach days" in key villages to gather new GPS points, validate farm-level information with farmers, and address local concerns. Where possible, coordinate with relevant government authorities or land administration agencies to align data collection with official verification processes. Written Supplier Guidelines Provide a 1–2-page document in local language summarizing EUDR basics: cut-off dates, no deforestation after 2020, geolocation requirements. Incentives Offer small in-kind perks (like tarps or training on better farming techniques) to encourage consistent data sharing from farmers.	Collaborative Training Partner with NGOs or local government to deliver in-depth workshops on deforestation-free best practices, legal compliance, or safe pesticide handling. Grievance Mechanism Set up a channel (WhatsApp or a phone line) so suppliers or communities can raise concerns about data collection or land conflicts.

Stage	Foundational Practices (Getting Started)	Progressing Practices (Building Good Practice)	Advanced Practices (Leading Companies)
Traceability & Data Collection	Basic Purchase Logs Keep a notebook or spreadsheet of each purchase date, farmer/collector name or ID, approximate volume, farm location if known. One GPS Point for Small Plots For small plots (<4 ha), record one lat/long point (or local coordinate reference). Ensure data is collected with informed consent from farmers and stored securely in accordance with national data protection regulations (e.g., UU PDP in Indonesia). Physical Segregation If you suspect some product is from unknown sources, store it separately from the “clean” supply (e.g., different corner of the warehouse).	Batch Numbering System Assign each batch a code (e.g., “Batch-001/Feb-2025/VillageX”) so you can cross-reference it with a date and supplier. This helps if a buyer asks for more detail. Polygons for Larger Plots For bigger farms, aim for polygons or multiple GPS points. Use standardized data formats to support interoperability with National Dashboard. Volumetric Checks Confirm that deliveries from a “tiny plot” don’t exceed a realistic yield. Document suspicious yields separately and clarify with the farmer or aggregator. Regular Reconciliation Once per month, cross-check the total volumes recorded against the physical sacks in your warehouse and your overall “Master Log.” This ensures you catch data mismatches or missing entries early.	Digital Traceability Tools Use a basic smartphone app or spreadsheet with built-in macros. Input lat/long directly on-site, link it to the farmer ID and the batch code. Regular Cross-Checks Twice a season, verify volumes from each farmer or aggregator. Investigate anomalies (massive spike in yield, newly opened land in protected areas). Real-Time Segregation Label sacks or containers “verified” or “pending” to ensure no accidental mixing. If using near-real-time data (like a shared GPS phone), update logs daily.
Risk Assessment and Verification	Look for Red Flags If a supplier is near a national park or has farmland cleared post-2020, keep that supply separate. Note it as “high-risk lot.” Basic Communication If you see evidence of deforestation, inform the local aggregator or farmer that you cannot accept non-compliant product for EU markets.	Simple “Risk Map” Mark on a rough map (printed or digital) which villages/farms are near protected areas. Label them as high-risk. Buyer Collaboration Let your bigger EU-facing buyer know about any suspicious expansions so they can decide if a satellite check or field visit is needed. Corrective Action If a smallholder is suspected of newly cleared land, hold a	Proactive Screening Use free mapping tools or simple satellite imagery (e.g., Global Forest Watch) to see if farmland recently encroached on forest. Engage Local Government If you suspect repeated illegal expansions, contact local authorities or an NGO for solutions (e.g., reforestation programs). Supplier Suspension Have a formal procedure for temporarily excluding any supplier who continues to

Stage	Foundational Practices (Getting Started)	Progressing Practices (Building Good Practice)	Advanced Practices (Leading Companies)
		short “Corrective Action Plan (CAP) Meeting” with them, keep notes of next steps (e.g., confirm if it’s just replanting of existing farmland).	expand into protected forest. Document your decision and reason.
Ongoing Monitoring & Validation	Update Supplier List Each season, check which farmers or collectors have left or joined. Record changes in a simple “Supplier Register.” Basic Internal Checklists Use a short, 1-page checklist for staff to confirm they’ve recorded purchases properly, labelled sacks distinctly, and updated the geolocation list for new farmers. <i>(Potential to include proposed check-list in annex to the guide).</i> Encourage Informal Feedback Ask farmers or local collectors to notify you if they see new land clearance or boundary shifts. Keep a “notes section” in your main log for these farmer-reported updates.	Annual or Two-Season Spot Checks After each main and mid-crop, do a quick compliance review. E.g., pick a few random farmers to verify if the farmland matches their stated coordinates or if any new farmland expansions or boundary shifts occurred Periodic Buyer Feedback Request your larger buyers to share any findings from their audits or satellite data so you can remedy issues quickly.	Digital Farmer Profiles Maintain regularly updated farmer profiles with appropriate safeguards to ensure data protection and informed consent, in compliance with relevant data privacy regulations. Adaptive SOP Adjust your SOP on a regular basis, or if you adopt new tech (like a more advanced mapping tool).



4. Conclusion

This recommendation document outlines actionable guidance to support stakeholders in the natural rubber, coffee, and cocoa sectors in meeting the EU Deforestation Regulation (EUDR) requirements:

1. Summary of Key Recommendations by Commodity



Natural Rubber: Due to fragmented supply chains and limited smallholder engagement, recommendations focus on improving traceability, introducing minimum legality checks, and building awareness through tiered approaches tailored to smallholder capacities. Risk mitigation is crucial due to the low direct export rate to the EU and high indirect exposure through complex trade flows.



Coffee: Addressing land legality in agroforestry systems, resolving co-ownership documentation challenges, and strengthening traceability in a stakeholder-dense supply chain are core priorities. Leveraging existing certification programs and preparing for alignment with EUDR definitions of deforestation are also key.



Cocoa: Given the age of cocoa plantations and the presence of farms in restricted areas, land legality and compliance with conservation policies are essential. Strengthening farmer documentation and connecting with reforestation and restoration initiatives support long-term alignment.

2. Emphasis on Sector-Specific Solutions and Stakeholder Engagement

The document underscores that a “one-size-fits-all” approach is inadequate. Instead, it calls for sector-specific strategies adapted to the distinct characteristics of each commodity, supported by:

- Tailored roadmaps for smallholders, larger processors/exporters, and local cooperatives.
- Active collaboration between supply chain actors, NGOs, and government bodies.
- A recognition that supporting farmers’ rights, providing technical assistance, and ensuring data transparency are essential to foster inclusive and sustainable compliance.

3. Highlighting the Roadmap of Recommendations

For each stakeholder group, the document provides a multi-stage roadmap—Foundational, Progressing, and Advanced—across the five core implementation categories:

- Company Systems & Governance
- Supplier Engagement & Outreach
- Traceability and Data Collection
- Risk Assessment and Mitigation
- Ongoing Monitoring and Validation

These roadmaps serve as a practical guide for gradual improvement, allowing stakeholders to self-assess their current readiness and take incremental steps towards full compliance with the EUDR. Integration with national platforms, alignment with Indonesia's legal frameworks, and consideration of data privacy and interoperability are emphasized throughout.



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Annex 1: EUDR Readiness Assessment for Larger Companies

Purpose: The EUDR Readiness Assessment is a quick self-diagnostic tool to evaluate the maturity of businesses on their EUDR journey.

Instructions:

1. Answer each question with YES or NO.
2. Assign 1 point for each YES, and 0 points for each NO.
3. At the end, tally your total points (maximum 36).
4. Compare your score to the interpretation guide to see where you stand

Step 1: Company Systems & Governance 1. Have you established a formal cross-functional EUDR team (e.g., legal, procurement, sustainability) with documented responsibilities? 2. Does your company have a written policy (or a statement within existing policies) referencing deforestation-free commitments under EUDR? 3. Have all relevant products—especially those containing forest-risk commodities—been matched to their HS codes to determine EUDR scope? 4. Is a senior manager (or Compliance Officer) officially accountable for EUDR compliance, with regular reporting to top leadership? 5. Are there dedicated funds or resources (staff time, external tools, audits) allocated to implement and maintain EUDR compliance? 6. Have you conducted internal awareness or training sessions so relevant departments (R&D, logistics, finance) understand their EUDR roles? 7. Are EUDR checks and controls embedded or being integrated into existing business processes (e.g., ISO systems, sustainability frameworks)? 8. Is your governance approach flexible enough to expand if new commodities or land types are added under the EUDR in the future?	Answer Yes [] No [] Yes [] No [] Yes [] No [] Yes [] No [] Yes [] No [] Yes [] No [] Yes [] No [] Yes [] No []
Step 2. Supplier Engagement & Outreach 9. Does your Supplier Code of Conduct or contract template explicitly mention EUDR obligations (e.g., traceability, no deforestation)?	Answer Yes [] No [] Yes [] No []

10. Beyond Tier 1, have you identified which Tier 2 or indirect suppliers might also handle forest-risk commodities?	Yes [] No []
11. Do you categorize suppliers (high, medium, low risk) based on location, commodity type, or past compliance, and adjust outreach accordingly?	Yes [] No []
12. Do you offer training or guidance (webinars, workshops, manuals) to suppliers on collecting geolocation data and managing EUDR risk?	Yes [] No []
13. Is there a clear process for suppliers to communicate challenges, propose solutions, or share best practices regarding EUDR compliance?	Yes [] No []
14. Do you or your partners regularly conduct supplier site visits, audits, or desk-based checks focusing on EUDR compliance?	Yes [] No []
15. Have you set up incentives (priority contracts, better payment terms, premiums) for suppliers who demonstrate robust EUDR practices?	
Step 3: Traceability and Data Collection	Answer
16. Do you consistently gather geolocation data at the farm/plot level for all forest-risk commodities, using polygons if >4 ha?	Yes [] No []
17. Are there procedures to ensure volumes, addresses, and harvest/production dates match across invoices, delivery notes, and transport docs?	Yes [] No []
18. Do you have mechanisms preventing mixing of compliant and non-compliant products (e.g., separate storage or labeling)?	Yes [] No []
19. Have you implemented software or digital platforms for real-time or near real-time capture of traceability data?	Yes [] No []
20. Do you have a process to spot-check or flag suspicious data (e.g., abrupt yield jumps, origin changes) for fraud or errors?	Yes [] No []
21. Are EUDR-related records (geolocation info, supplier declarations) systematically stored for at least five years in an easily retrievable format?	Yes [] No []
22. Do you cross-reference supplier data with external sources (e.g., government land registries, deforestation alert systems) where possible?	Yes [] No []
23. Have you piloted or planned expansions of traceability beyond Tier 1 (e.g., requesting data from Tier 2, local traceability programs)?	Yes [] No []

Step 4: Risk Management & Corrective Actions	Answer
24. Is there a documented Compliance Management System (CMS) describing how you identify, categorize, and manage deforestation risks (Articles 10 & 11)?	Yes [] No []
25. Do you use a scoring/rating model (corruption indices, land conflict, indigenous rights, etc.) to prioritize higher-risk suppliers or shipments?	Yes [] No []
26. When non-compliance is found, is there a formal process (Corrective Action Plan - CAP) with timelines, responsible parties, and follow-up checks?	Yes [] No []
27. 27. When new evidence emerges of possible deforestation, do you have a clear process to notify and collaborate with suppliers, local authorities, or industry coalitions to investigate and remediate?	Yes [] No []
28. Do you adjust sampling and document checks based on supplier history or region risk level, rather than a uniform approach?	Yes [] No []
29. Have you implemented a satellite-based monitoring solution that provides near real-time alerts on deforestation or land-use changes for high-risk commodities in your supply chain?	Yes [] No []
30. Do you invite independent or third-party auditors (certification bodies, NGOs) to validate your risk assessments or supplier compliance?	Yes [] No []
31. If suppliers repeatedly fail to correct issues, are you prepared to halt sourcing until they meet EUDR standards? <i>Please note it is assumed that this is a last resort after engaging repeatedly in compliance support efforts.</i>	Yes [] No []

Step 5. Ongoing Monitoring, Compliance Validation & Reporting	Answer
32. Do you maintain a structured schedule (e.g., monthly or continuous) of compliance checks across relevant departments to catch non-compliance in near real time?	Yes [] No []
33. Are external or third-party checks (e.g., audits, independent verifications) included as part of your continuous monitoring plan, rather than as a one-off event?	Yes [] No []
34. Do you have a process for incorporating new EUDR guidance, shifting regulatory requirements, or updated risk classifications into your ongoing monitoring activities?	Yes [] No []
35. Is there a system for promptly capturing and investigating external complaints or “substantiated concerns” about possible deforestation in your supply chain?	Yes [] No []
36. Do you systematically use insights from ongoing monitoring (e.g., supplier performance data, stakeholder feedback) to update SOPs, train staff, and refine your CMS on a continuous basis?	Yes [] No []

Scoring & Interpretation

0–12 Points → Foundational

Likely minimal or ad hoc EUDR approaches. Focus on establishing basic governance (appointing a compliance lead, forming a DDS), setting up traceability logs, and initiating a formal risk management process.

13–24 Points → Progressing

Moderately developed EUDR framework. Core systems are in place (e.g., supplier engagement, partial traceability, some risk assessment), but there is still room to strengthen audits, adopt more advanced data tools, or expand supplier outreach.

25–36 Points → Advanced

Well-developed EUDR framework with comprehensive risk management, robust traceability, and proactive supplier collaboration. Continue focusing on real-time data analytics, transparent reporting, and continuous refinement to maintain leadership in EUDR compliance.

Please note that the ranges may be refined based on the consultation with the private sector companies.

Next Steps:

1. Compare your score across the five stages to determine which category (or categories) scored lowest and focus resources there first.
2. Set Concrete Action Plans: For each gap, define a specific task, deadline, and responsible person or team. Start with your most pressing gaps (e.g., high-risk suppliers, missing geolocation data) and ensure each action is realistic but time bound.
3. Monitor Progress & Iterate: Revisit this assessment periodically—e.g., every 6–12 months—to gauge improvements. Even once you reach the Progressing stage across all 5 stages, aim to move toward Advanced by integrating real-time analytics, satellite monitoring, and transparent public reporting.

EUDR regulations and market expectations will continue evolving; staying proactive keeps you ahead of compliance risk

